

Customer Churn Analysis Report

Prepared For: Executive Leadership Team

Prepared By: Business Intelligence Unit Date: June 18, 2026

1. Executive Summary

This report provides a formal, comprehensive evaluation of customer attrition based on recent dashboard data analyzing **7,044 unique accounts**. Customer churn represents one of the most significant revenue leakage points within our enterprise, standing at an overall rate of **26.53%**. Cumulatively, this loss has manifested as an absolute historical revenue deficit of **\$2,862,926.90**.

An intense diagnostic assessment of the data reveals that churn is heavily concentrated within specific contract frameworks, high billing structures, and early lifecycle stages. By transforming these dashboard patterns into operationalized retention plays, we can aggressively reclaim lost margins and lengthen customer lifetime values.

7,044	26.53%	\$2.86M	10 Mos
TOTAL PORTFOLIO	OVERALL CHURN RATE	REVENUE LOST	MEDIAN LIFESPAN

2. Key Metrics & Understanding the Scale

The table below provides a quantified baseline established within the operational data layout. This snapshot serves as the standard baseline for macro-level strategic planning.

Operational Metric	Value / Clean Metric
Total Number of Customers	7,044
Overall Churn Rate	26.53%
Average Monthly Bill	\$64.76
Total Revenue Lost to Churn	\$2,862,926.90
Average Lifespan of a Churned Customer	17.98 Months (~1 Yr, 6 Mos)
Median Lifespan of a Churned Customer	10.00 Months

Operational Metric	Value / Clean Metric
Active Customers Average Bill	\$61.27
Churned Customers Average Bill	\$74.44

Critical Correlative Highlight: The Cost of Overpricing

A vital discovery in the dataset indicates that **churned customers carry a substantially higher average monthly bill (\$74.44)** compared to active loyal accounts (\$61.27). This strongly implies that premium pricing tiers, unoptimized bundling options, or sudden rate increases are structurally driving attrition.

3. Diagnostic Insights & Risk Drivers

3.1 Contract Architecture (The Leading Predictor)

Cross-tabulation of contract structures directly maps behavioral trends to high attrition. Customers locked into **One-year** or **Two-year** agreements demonstrate high stability with negligible churn volumes. Conversely, **Month-to-month contracts** bear almost the entirety of our portfolio risk. Flexible arrangements act as frictionless off-ramps for disgruntled or price-sensitive users.

3.2 Tenure & Lifespan Patterns

The lifespan data points to a highly compressed window for preventative engagement. While the *average* tenure of a lost customer sits around 18 months, the **median tenure is restricted to just 10 months**. This indicates a heavily skewed curve where a substantial subset of customers leave during their first year ("New Accounts" and "Rising Customers"). If an account survives past the 12-to-18-month threshold, they matriculate cleanly into stable "Mature" or "Legacy" segments.

3.3 Demographic & Feature Elasticity

Gender alignment maps identically across both churned and retained segments, establishing that demographic gender distributions play no statistical role in operational risk. Instead, service features—specifically the presence of multiple phone lines or the lack of automatic transaction setups (such as electronic checking volatility)—act as secondary churn catalysts.

4. Strategic Recommendations

To directly counter the current \$2.86M revenue attrition line, the business units should systematically roll out the following data-informed initiatives:

- **Structured Long-Term Migration Incentives:** Introduce aggressive contract migration pathways specifically targeting month-to-month accounts. Offering a small bill normalization credit (e.g., matching the \$61 active average) in exchange for moving onto an annual framework will immediately mitigate risk.
- **The "Month 9" Proactive Lifecycle Playbook:** Design a dedicated automated outreach program for new accounts approaching their 8th to 10th month of service. Since the median lifespan drops heavily right at 10 months, proactive support touches or loyalty upgrades at Month 9 will capture at-risk cohorts before they reach peak vulnerability.
- **Targeted High-Bill Optimization Audits:** Since churned customers average a \$74.44 bill, deploy automated data triggers that identify accounts exceeding a \$70 threshold without a fixed long-term contract. Proactively offer tailored right-sizing or service-bundling audits to minimize price fatigue.
- **Auto-Pay Enrollment Campaign:** Given the payment method vulnerabilities shown in the slicer deep-dives, create bill credit incentives (\$2–\$5/month) for transitioning off electronic checks and onto automated credit card or bank transfers.